IB ASSIGNMENT 1 • MAY 2026

# Global Expansion Challenges

## of FreshBite Foods Sdn. Bhd.

*Ready-to-Eat Frozen Foods | Malaysia → World*

Presentation Date: 22 May 2026


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QUESTION 1

# What motivated FreshBite Foods to expand into international markets?

# Q1 – MOTIVATIONS FOR INTERNATIONAL EXPANSION

### Push Factors (Internal Pressures)

- Increasing local competition in Malaysia
- Rising production costs
- Need to reduce dependence on domestic market
- Limited growth potential in home market

### Pull Factors (External Opportunities)

- Opportunity to increase profits
- Improve brand recognition internationally
- Access to new customer segments
- Favourable demand for halal products abroad (e.g. UAE)

QUESTION 2

# Identify THREE challenges faced by FreshBite Foods in Singapore.

# Q2 – THREE CHALLENGES IN SINGAPORE

## 01 High Costs

High rental and distribution costs increased operating expenses, reducing profit margins in Singapore

## 02 Strict Regulations

Strict food quality and safety regulations required additional investment in packaging improvements and product quality testing

## 03 Intense Competition

Strong competition from established international brands made it difficult to gain market share; also needed halal certification updates

QUESTION 3

# Why did the company experience difficulties in Thailand?

# Q3 – DIFFICULTIES IN THAILAND

- Insufficient market research before entry
  - Did not fully understand Thai consumer preferences prior to launching
- Consumer taste differences
  - Thai consumers preferred spicier flavours and different packaging styles compared to Malaysian-style products
- Communication and language barriers
  - Language differences caused communication problems between Malaysian managers and Thai business partners, leading to misunderstandings
- Cultural differences
  - Management underestimated how different Thai food culture was from Malaysia

QUESTION 4

# Explain TWO international business challenges faced in the UAE market.

# Q4 – TWO CHALLENGES IN THE UAE

**Challenge 1: Logistics & Transportation**

- High transportation and logistics costs for long-distance shipping
- Complicated import documentation requirements
- Delays at customs checkpoints
- Need to adjust product labelling into Arabic and English to comply with UAE regulations

**Challenge 2: Currency Exchange Rate Risk**

- Currency exchange rate fluctuations created financial uncertainty
- Revenue collected in UAE Dirham exposed to foreign exchange risk
- Fluctuations could reduce profit margins when converting back to Malaysian Ringgit
- Company struggled to manage exchange rate risks effectively

QUESTION 5

# Why is market research important in international business?

# Q5 – IMPORTANCE OF MARKET RESEARCH

### Understand Consumer Preferences

Identify local tastes, cultural habits, and buying behaviour (e.g. FreshBite failed to research Thai flavour preferences)

### Identify Regulatory Requirements

Know food safety laws, labelling rules, and certification needs before entering a market (e.g. UAE Arabic labelling)

### Assess Competition

Evaluate strength of local and international rivals to develop a competitive strategy (e.g. established brands in Singapore)

### Minimise Risk & Waste

Avoid costly mistakes by making data-driven decisions instead of assumptions

### Plan Resources & Strategy

Allocate budget, set realistic sales targets, and adapt the marketing mix (product, price, place, promotion) to the local market

KEY TAKEAWAYS

# Lessons from FreshBite Foods

- **Conduct thorough market research**

before entering any new market

- **Adapt products and packaging**

to local consumer preferences and regulatory requirements

- **Manage financial risks**

including exchange rate fluctuations and logistics costs

- **Build international management skills**

through training, consultants, and cross-cultural awareness